

CITATION: HEDAYAT AMIRVAR v. MURLEE HOLDINGS LIMITED, 2011 ONSC 5826
COURT FILE NO.: CV-09-092994-00
DATE: 20111003

SUPERIOR COURT OF JUSTICE - ONTARIO

RE: HEDAYAT AMIRVAR, Plaintiff

AND:

MURLEE HOLDINGS LIMITED, Defendant

BEFORE: The Honourable Mr. Justice M.F. Brown

COUNSEL: No one appearing on behalf of the plaintiff

Marcela A. Saitua, for the Defendant

HEARD: April 28, 2011

ENDORSEMENT

I. OVERVIEW

- [1] The defendant, Murlee Holdings Limited, brings this motion in response to the failure of the plaintiff, Hedayat Amirvar, to comply with the terms of a binding settlement agreement offered by the plaintiff and accepted by the defendant. The defendant moves that the action be dismissed on a without costs basis as per the terms of the settlement agreement. No one appeared for the plaintiff on this motion although the plaintiff was properly served with the motion material on April 13, 2011 pursuant to the *Rules of Civil Procedure*.

II. BACKGROUND

- [2] This action arises out of an alleged slip-and-fall which occurred on or about August 9, 2008. Thereafter, the plaintiff served a statement of claim issued on January 28, 2009 seeking damages arising out of the slip-and-fall that the plaintiff alleged was caused by the negligence of the defendant.
- [3] Prior to examinations for discovery taking place, counsel for the defendant screened surveillance video of the plaintiff's fall. The video shows that the plaintiff did not fall in the manner alleged in his statement of claim.
- [4] On June 4, 2010, the plaintiff's lawyer at the time, Paul Miller, viewed the defendant's video at the offices of the defendant's lawyers. Mr. Miller later viewed the video with the plaintiff. After viewing the video, Mr. Miller made a verbal offer to dismiss the claim

against the defendant on a without costs basis. Emails were exchanged between the lawyers for the two parties confirming acceptance of the verbal offer.

- [5] A full and final release was then submitted by the defendant to the plaintiff's lawyer on June 11, 2010 to be executed by the plaintiff. The plaintiff subsequently refused to execute the release and attempted to rescind the settlement.
- [6] The lawyers for the plaintiff then brought a motion to have themselves removed as the solicitor of record for the plaintiff. The motion was heard on September 29, 2010 and the motion was granted.
- [7] The defendant now moves under Rule 49.09 for judgment in the terms of the accepted offer.

III. ISSUES

- [8] The issues for this motion are:
 - (a) Did the parties enter into a binding settlement agreement?
 - (b) Should judgment be granted in the terms of the accepted offer?

IV. ANALYSIS

- [9] The plaintiff retained Will Barristers LLP to represent him in his litigation against the defendant. The offer of settlement was presented by the plaintiff's lawyer, Mr. Miller, to the defendant's lawyer, Ms. Varjacic. Both counsel agree that an offer was presented by Mr. Miller on behalf of the plaintiff, and that the offer was then accepted by Ms. Varjacic on behalf of the defendant.
- [10] A lawyer's authority to compromise in negotiations may be implied from his or her retainer unless a limitation of that authority is communicated to the opposite party. No such limitation was ever made known to the defendant. See *Scherer v. Paletta*, [1966] O.J. No. 1017 (Ont. C.A.).
- [11] As such, because no limitation of Mr. Miller's authority to negotiate a settlement was communicated to the defendant, the defendant was entitled to rely on the offer communicated by the plaintiff's lawyer without making further inquiries with the plaintiff.
- [12] There is a two part test to determine whether a binding settlement agreement exists. First, there must have been a mutual intention to create a legally binding contract; and second, the parties must have reached agreement on all of the essential terms of the settlement. See *Olivieri v. Sherman* (2007), 86 O.R. (3d) 778 (Ont. C.A.) at para 41.

- [13] In this case, the parties did share a mutual intention to create a legally binding contract. An oral offer was made by Mr. Miller to Ms. Varjadic. Ms. Varjadic sought instructions based on that offer and, subsequently, accepted the offer as presented by the plaintiff.
- [14] Although the plaintiff's offer was made orally, it was accepted in writing through the emails sent between the lawyers for the parties. The emails demonstrate that the parties accepted the terms as a binding settlement, a position that is supported by Mr. Miller providing his consent to the defendant taking out a dismissal order and providing his authority to execute the consent for the same.
- [15] The Courts have acknowledged that the terms of a contract are often expressed orally before being drafted into a formal written document but the formal written document, itself, does not alter the binding validity of the original oral contract. There is no merit in the argument that a settlement cannot be reached until the execution of a written release or if a plaintiff has objections to a release. See *Kaur v. The Manufacturers Life Insurance Company*, [1999] O.J. No. 3564 (Ont. C.A.) at para. 3.
- [16] Both the plaintiff and the defendant, at the time of acceptance of the terms of settlement, intended to create a binding contract. The correspondence following the plaintiff's oral offer suggests that both parties shared a mutual intention to create a binding contract. Any intentions to rescind or alter the contract were only expressed by the plaintiff through his lawyer weeks after the binding settlement was entered into.
- [17] The agreement between the plaintiff and the defendant in a settlement of this action was limited to two relatively straight forward terms. The plaintiff put forward an offer to settle that comprised a proposal that he would (1) abandon his claim against the defendant, in return for (2) the defendant not seeking indemnity for the costs it incurred in defending the claim from the plaintiff.
- [18] Correspondence following the verbal offer shows that lawyers for both parties were cognisant of the two terms of the offer. No other terms were discussed and no counteroffers were made.
- [19] As well, the documentation of taking out the dismissal order and executing the full and final release were not terms of the contract, but simply the formal documentation of settlement. The terms of the release are not the terms of settlement, and any issue the plaintiff may have with the wording of the release is not a valid reason to suggest that the parties had not reached agreement on all the essential terms. See *Bawitko Ltd. v. Kernels Popcorn Ltd.*, [1991] O.J. No. 495 (Ont. C.A.).

V. CONCLUSION

- [20] For the foregoing reasons, I am of the view that the motion for judgment under Rule 49.09 should succeed. Accordingly, judgment shall be awarded to the defendant in this action on the following terms:
- (i) The action of the plaintiff against the defendant shall be dismissed, without costs.

[21] In the circumstances of this case, there shall be no costs awarded for the motion for judgment. Each party shall assume their own costs of the motion.

M.F. BROWN J.

Date: October 3, 2011